

Beveridge-Samuelson Framework

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Assumptions:

- Divine coincidence: do not worry about inflation
 - * inflation is exogenous, does not respond to aggregate activity
 - * inflation is on target when unemployment is efficient, $u = u^*$

- Beveridge curve: $v(u)$

- * unemployment
- * have sufficient statistic for u^* , efficient unemployment rate $\rightarrow u - u^*$
- * $u^* = \sqrt{u^v}$ under simple but realistic assumptions

- Samuelson (1954) theory of public goods

- * government provides g public goods (by employing workers, recruiting them)
- * public goods benefit everybody
- $\rightarrow$ enter household's utility function
- * public workers do not work in private sector